



Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 AS Level Multiple Choice

October/November 2023

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Done.

This document has **12** pages. Any blank pages are indicated.

2

- 1 A factory introduces an automated production line to take advantage of division of labour.

What is most likely to increase?

- A average cost of production → decrease, high output
 B job satisfaction of workers → decrease, repeated tasks
 C range of skills of each worker → range of skills ↓ as workers are specialized
 ✓ D worker productivity → same workers producing greater output.

- 2 Consumers do not use enough of a product to maximise their private benefit because they have imperfect information about the product.

How would an economist classify this product?

- A demerit good Over consumed
 B free good Unlimited in supply e.g. sunlight
 ✓ C merit good Under consumed
 D public good Non-rival and Non-excludable, free rider problem

- 3 The table shows different combinations of rings and bracelets that can be produced by Luke and Zoe in the same time period.

Luke		Zoe	
rings	bracelets	rings	bracelets
18	0	20	0
12	6	16	8
6	12	12	16
0	18	8	24

hard to forget 6 than 4.

Which statement is not correct?

- A Luke has a larger opportunity cost than Zoe for making bracelets.

- B The opportunity cost of producing rings is constant for both Luke and Zoe.

- C Zoe should specialise in making rings.

- ✓ D Zoe's opportunity cost for each bracelet is 2 rings.

Zoe, lower opportunity cost in rings

Correct $\begin{matrix} 6:6 \\ 4:8 \end{matrix}$

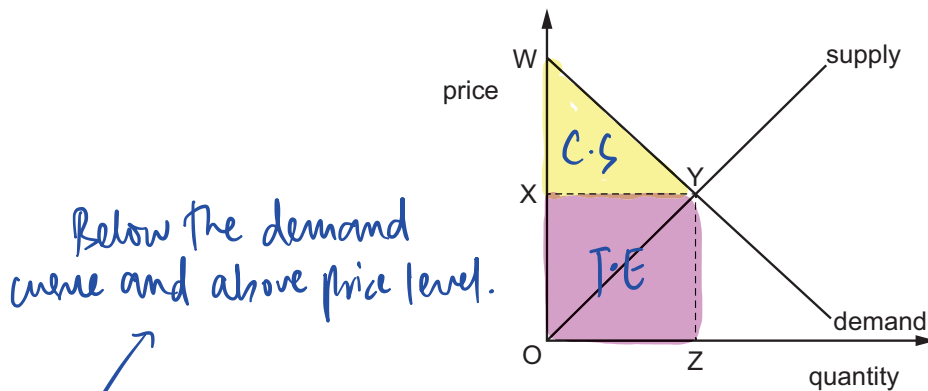
Yes, Luke (1R:1B) vs Zoe (1R:2B)
 (1B:0.5R)

Unlimited in supply, No opportunity cost, Not scarce.

4 What is an example of a free good?

- A a government sponsoring a free vaccination programme for its citizens *Merit goods*
 B a hospital providing free treatment to the poor *Merit goods*
 C a school providing free education to outstanding students *Merit goods*
 ✓ D anything that provides free utility but is not scarce *Not scarce, Free good*

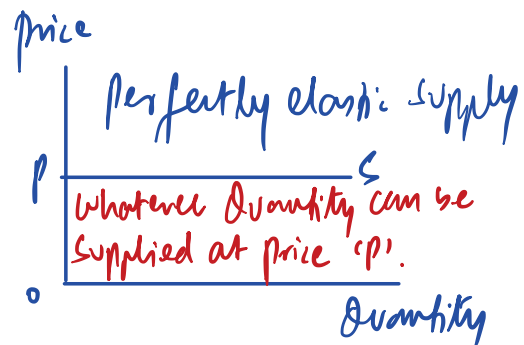
5 The diagram shows the market for computers in Pakistan.



Which areas represent consumer surplus and consumer expenditure?

	consumer surplus	consumer expenditure
A	WXY	OXY
✓ B	WXY	OXYZ
C	WYO	OXYZ
D	WYO	OYZ

$T.E / TR = P \times Q$



6 The supply curve for a firm is a horizontal straight line.

What can be concluded from this statement?

- ✓ A Quantity supplied is infinite at the given price.
 B Quantity supplied is infinite below the given price. *not below, at given*
 C Quantity supplied remains constant at all prices.
 D Quantity supplied is perfectly inelastic.

perfectly inelastic

Negative relationship
between Income and demand⁴ $\downarrow (5\%)$

- 7 When the incomes of consumers of good X fall by 5%, under which conditions will the demand curve shift furthest to the right? $D \uparrow$, inferior

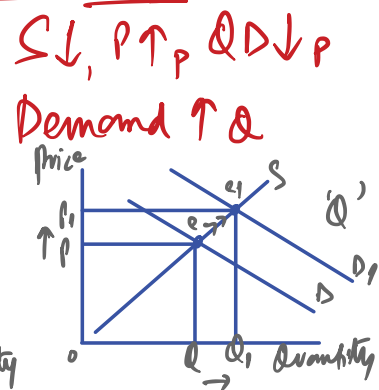
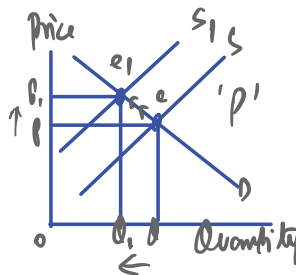
	nature of good X	income elasticity of demand for good X
A	inferior good ✓	-0.8
B	inferior good ✓	-1.2 ✓
C	normal good	+0.9
D	normal good	+1.5

$\rightarrow -ve$ (greater than 1, because the question says 'furthest')

- 8 Good P and good Q are substitutes. There is a decrease in supply of good P because of a shortage of materials.

Which row describes what will happen to demand?

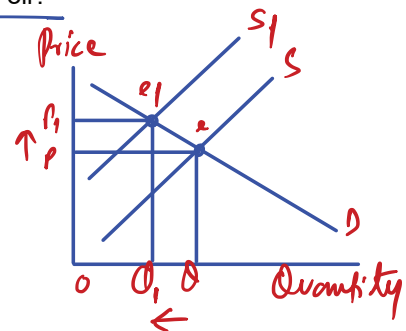
	good P	good Q
A	contraction ✓	extension
B	contraction ✓	shift to right ✓
C	shift to left	shift to left
D	shift to left	shift to right ✓



- 9 The pressure to reduce the use of fossil fuels has led to oil companies reducing the level of investment in the exploration of new reserves.

What will be the long-run effect of such a policy on the market for oil?

	market change	price change
A	upward movement along the demand curve	price decreases
B	downward movement along the demand curve	price increases
C	supply shifts to the left	price increases
D	supply shifts to the left	price decreases



Reducing $\downarrow$ of new reserves, affects supply, $S \downarrow$, prices $\uparrow$

5

- 10 The price elasticity of demand for a product is -0.6 . (inelastic demand) $P \downarrow \Rightarrow \% Q \uparrow$

The supplier wants to clear all surplus stock of a product and reduces the price of a good by 50%.

What is the effect of this price change on the quantity purchased and the expenditure on the good?

	quantity demanded	expenditure
A	rises by 30% ✓	falls ✓
B	rises by 30% ✓	rises
C	rises by 60% ✓	falls ✓
D	rises by 60%	rises

→ Elastic demand

Prices ↑ Qd ↓ TR | TE ↑
Price ↓ Qd ↑ TR | TE ↓

+ve $PES = \frac{\% \Delta \text{ in } Qs}{\% \Delta \text{ in price}}$

- 11 A firm is producing 100 units at a price of \$10. The price elasticity of supply is 0.5 and the price is raised to \$12.

What is the new level of output?

- A 75 B 110 C 125 D 150

$XED = \% \Delta \text{ in } QD \text{ car} \div \% \Delta \text{ in price bus}$

$0.5 = \frac{x - 100}{\frac{12 - 10}{10} \times 100}$

- 12 In a town, bus fares fall by 50% and this leads to an increase in bus use by 30%. The effect on car use is very low with only a 1% reduction.

$XED = \frac{1}{50}$

What is the value of the cross-elasticity of demand between car travel and bus travel?

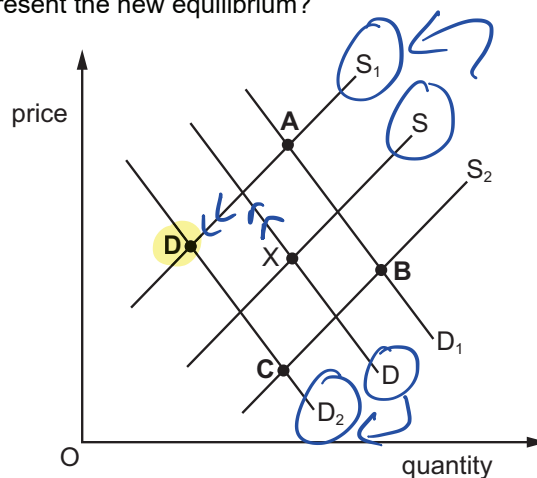
- A -0.60 B -0.02 C +0.02 D +0.60

$0.5 = \frac{x - 100}{20}$
 $x = 110$

$XED = +0.02$
↓
Substitutes

- 13 In the diagram, the demand and supply curves for wheat in Australia are shown. Initial equilibrium is at X. The government imposes a sales tax on wheat at the same time as increasing the rate of income tax.

Which point could represent the new equilibrium?



- 14 A free market is currently experiencing excess supply at a price of P_1 .

What will be the effect on the current market situation if a maximum price is set above P_1 ?

- A The excess supply will increase. *If minimum price was set*
 B The market will move into an equilibrium position. *, if P_1 was max price*
☒ C There will be no effect.
 D There will be excess demand. *Below equilibrium*

Ineffective, falls back to P_1 , so no effect

- 15 What is a likely **disadvantage** of a government's provision of transfer payments to the unemployed?

- A decrease in the standard of living
☒ B disincentive to accept paid work
 C increase in inequality
 D increase in poverty

dependency

S.O.L ↑ (Basic necessity can be attained)

inequality reduces as poor will be better off.

As inequality ↓, so does poverty

- 16 Which combination of policies would increase the inequality of the distribution of income and wealth?

	<i>low</i> progressive taxes	<i>low</i> minimum wage	<i>low</i> transfer payments
A	decrease	increase	reduce
☒ B	decrease	reduce	reduce
C	increase	increase	increase
D	increase	reduce	increase

Inequality ↑

Progressive ↓, Benefits rich

Min wage ↓,

Transfer payments ↓, poor worse off

J > W

- 17 Which changes will increase the circular flow of income?

	higher imports	higher investment	higher taxation
A	yes	no	no
B	yes	yes	no
C	no	yes	yes
☒ D	no	yes	no

*M ↑
W ↑,
so 'No'*

*I ↑
J ↑,
so 'yes'*

*T ↑
W ↑,
so 'No'*

$$I + G + X = S + T + M$$

$$I + (G - T) + (X - M) = S$$

$$50 - 20 + (-20) = 10$$

$$(M > X)$$

'tax revenue > G'

- 18 An economy in equilibrium has a trade deficit of \$20bn and a budget surplus of \$20bn. Investment spending is \$50bn.

What is the total saving?

- A \$5bn B \$10bn C \$15bn D \$20bn

- 19 A finance company incurs heavy losses and makes an accountant redundant.

The accountant seeks a new job through an employment agency which specialises in jobs in accounting.

What describes the type of unemployment of the accountant who is seeking a new job?

- A frictional → In between jobs / search unemployment
B seasonal (given time period)
C structural] connected, fall in demand of particular sector
D technological

- 20 An aggregate demand curve slopes downwards from left to right.

One reason for this is that a reduction in the average price level will lead to real income/output ↑

- A a decline in the country's international competitiveness. Increase
B an increase in interest rates. Decrease
C an increase in the real value of money balances.
D the expectation of further price falls.

- 21 Which components are included as primary income in the current account of the balance of payments?

	trade in goods	current transfers	employment income from abroad
A	✓	✓	✓
B	✓	x	x
C	x	✓	x
D	x	x	✓

key

✓ = included

x = not included

8

22 What is not included in the measurement of national income?

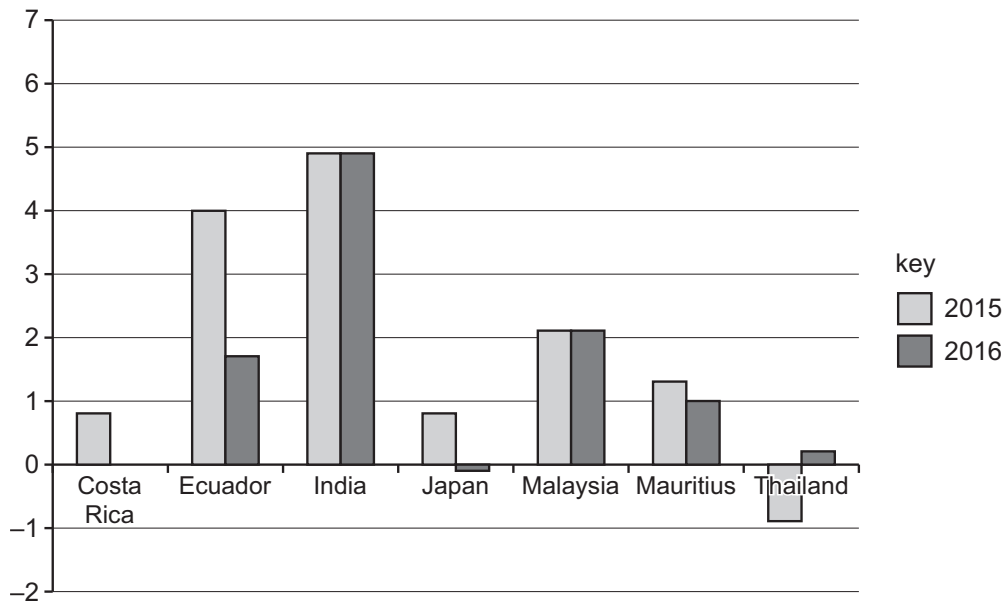
Transfer payments.

- A dividends paid to shareholders
- B overtime payments
- C rents from government-owned houses
- ☒ D welfare benefit payments

Read:-

In macroeconomics and finance, a transfer payment is a redistribution of income and wealth by means of the government making a payment, without goods or services being received in return. These payments are considered to be non-exhaustive because they do not directly absorb resources or create output.

23 The graph shows the rate of inflation for seven countries for 2015 and 2016.



What can be concluded from this graph?

- ☒ A Prices in Costa Rica rose in 2015 but remained constant in 2016. *rate is '0'*
 - B Prices in Ecuador and Mauritius were lower in 2016 than in 2015. *rate ↓, not prices*
 - C Prices in India and Malaysia remained constant in 2016 and 2015. *It increased with same rate*
 - D Prices in Thailand and Japan were lower in 2016 than in 2015.
- +ve inflation in 2016* (pointing to Costa Rica)
- deflation 2016* (pointing to Japan)

9

$$1X : 0.5Y$$

24 Country R and country S are going to trade 1 unit of product X for $\frac{1}{2}$ unit of product Y.

With a given amount of resources:

$$1X : 1.67Y$$

- country R can produce either 30 units of product X or 50 units of product Y
- country S can produce either 20 units of product X or 25 units of product Y.

$$1X : 1.25Y$$

Which statement is correct, according to the theory of comparative advantage?

☒ A Free trade will benefit both R and S.

☐ B Free trade will benefit neither R nor S.

☐ C Free trade will benefit R but not S.

☐ D Free trade will benefit S but not R.

Exchange rate / ToI should be between the opportunity cost ratios of both countries.
 → lower opportunity cost.

25 What is the most likely cause of a current account deficit on the balance of payments?

☐ A an undervalued exchange rate

☐ B a relatively low rate of inflation

☐ C a shrinking domestic economy

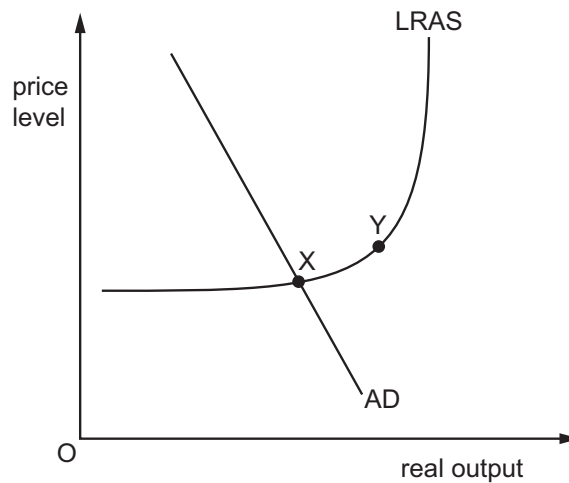
☒ D a general fall in national productivity

→ Devaluation, X prices ↓, M prices ↑, Trade Surplus
 → X, competitive, X(IR) ↑
 → Spending ↓, n(IE) ↓

→ Cost ↑, P ↑, uncompetitive, X(IR) ↓, deficit.

10

- 26 The diagram shows the long-run aggregate supply (LRAS) and aggregate demand (AD) curves for an economy.



The initial equilibrium is at point X.

Which combination of monetary policies will shift the equilibrium position to point Y?

	money supply ↑	rate of interest ↓
A	increase	increase
B	decrease	increase
C	increase	decrease
D	decrease	decrease

$MS \uparrow, r \downarrow, C \uparrow, I \uparrow, AD \uparrow$

fiscal

supply side

- 27 The government undertakes a policy of financing training and retraining for unemployed workers.

Which terms are most likely be used to classify this policy?

	demand-side	supply-side	fiscal	monetary
A	yes	no	yes ✓	no ✓
B	yes	no	no	yes
C	no ✓	yes ✓	no	yes
D	no ✓	yes ✓	yes ✓	no ✓

Deflationary gap

11

AS ↑

Increases potential

- 28 Which combination of initial equilibrium and supply-side policy is likely to be least effective when attempting to increase the real output of an economy?

	initial equilibrium real output	supply-side policy measure
☒ A	below full employment	abolition of national minimum wage
☐ B	below full employment	extra spending on training
☐ C	full employment	extra investment in infrastructure
☐ D	full employment	reduction in the rate of income tax

wages ↓

Expansionary fiscal required higher 'G'. Budget deficit ↑

- 29 A government aims to reduce unemployment through expansionary fiscal policy and borrows more from the commercial banks, increasing its borrowing requirement.

What will be the result?

☐ A a decrease in the budget deficit☐ B a decrease in the national debt☐ C an increase in the balance of payments deficit on the current account☒ D an increase in the interest rates

G ↑, borrow ↑, less funds available to bank, Supply of loans ↓, interest rate ↑.

Not a direct effect

Borrowing required, Debt ↑ MS ↑

- 30 A government wants to use an expansionary monetary policy.

What should the government increase?

☐ A credit regulations ↑, less loans issued, AD ↓☐ B the exchange rate ↑, Appreciation, X prices ↑, M prices ↓, Trade deficit, AD ↓☐ C the interest rate ↑, contractionary, C ↓, I ↓, AD ↓☒ D the money supply ↑, Expansionary

Question	Answer	Marks
1	D	1
2	C	1
3	D	1
4	D	1
5	B	1
6	A	1
7	B	1
8	B	1
9	C	1
10	A	1
11	B	1
12	C	1
13	D	1
14	C	1
15	B	1
16	B	1
17	D	1
18	B	1
19	A	1
20	C	1
21	D	1
22	D	1
23	A	1
24	A	1
25	D	1
26	C	1
27	D	1
28	A	1

Question	Answer	Marks
29	D	1
30	D	1